

[*296] the *cestuis que trust* may follow the fund *into the hands of the bankers (a), and it is no objection that the bank allows interest on the deposits (b). [But the trustees must not allow the money to remain on deposit longer than the circumstances of the trust require, and where a mortgage was paid off, and the money was placed on deposit at a bank as an interim investment, until a permanent investment could be found, and remained on deposit for fourteen months when the bank failed, the trustees were held liable for the loss (c). And] if the trustee pay the money to his *own credit* and not to the separate account of the trust estate (d), or if he allow the drafts of another person to be honoured who draws upon the account and misapplies the money (e), the trustee will be personally liable for the consequences.

6. **Trustee must not put the trust-fund out of his own control.**—And a trustee must not lodge the money in such a manner as to *put it out of his own control*, though it be not under the control of another. White, a receiver appointed by the Court, in order to induce Adams and Burlton to become his sureties, entered into an arrangement with them, that the rents, as received, should be deposited in a bank in the joint names of the sureties, and that all drafts should be in the *handwriting* of Anderson, who was Adams' partner, and should be signed by White. An account was opened upon this footing, and the bank failed, and a considerable loss was incurred. Sir J. Leach held that the receiver and his sureties were not to be answerable (f); but his Honour's decision

Effingham, Id. 279; Wilks v. Groom, 3 Drew. 584; Johnson v. Newton, 11 Hare, 160; Swinfen v. Swinfen (No. 5), 29 Beav. 211.

(a) *Ex parte Kingston*, 6 L. R. Ch. App. 632.

(b) *Re Marcon's Estate*, W. N. 1871, p. 148; 40 L. J. N. S. Ch. 537.

[(c) *Cann v. Cann*, 33 W. R. 40; 51 L. T. N. S. 770.]

(d) *Wren v. Kirton*, 11 Ves. 377; *Fletcher v. Walker*, 3 Mad. 73; *Macdonnell v. Harding*, 7 Sim. 178;

Matthews v. Brise, 6 Beav. 239; *Massey v. Banner*, 1 J. & W. 241. See observations of L. J. K. Bruce and L. J. Turner on this case in *Pennell v. Deffell*, 4 De G. M. & G. pp. 386, 392.

(e) *Ingle v. Partridge*, 32 Beav. 661; 34 Beav. 411; *Evans v. Bear*, 10 L. R. Ch. App. 76; and see *Hardy v. Metropolitan Land and Finance Company*, 7 L. R. Ch. App. 427; reversing S. C. 12 L. R. Eq. 386.

(f) *Salway v. Salway*, 4 Russ. 60.